AIMS INDUSTRIAL

Historical Financial Loss Analysis & Turnaround Strategy

Alif Leading Industrial Factory (fastener manufacturing & export) · VH Vision Horizon Industrial Company (copper bus bar manufacturing & local sales)

Twelve years of financial history, FY2014–FY2025, and the nine months to 30 September 2026

Prepared for the Board and shareholders of AIMS Holding · 17 October 2026

–SAR 40.1m	–13.2%	11.8x	SAR 18.6m
EBITDA, 9M-2026 annualised (Alif)	Gross margin, total-cost basis	Net debt to equity (Sep-26)	Turnaround portfolio (11.0 pts of sales)

Document control	
Subject	Historical loss analysis, diagnosis of the drivers of the loss and a quantified four-pillar turnaround plan
Entities covered	Alif Leading Industrial Factory (Alif) and VH Vision Horizon Industrial Company (VH), both 100% owned by AIMS Holding
Period	FY2014–FY2025 (Alif standalone, the only entity with historical data) and 9M-2026 YTD to 30 September (Alif, VH and consolidated)
Companion workbook	Alif_VH_IFRS_Master_Sep2026_Final.xlsx — new worksheet “Historical_Loss_&_Turnaround” (Excel limits sheet names to 31 characters; the full requested title is in cell A1)
Basis	Amounts in Saudi riyals (SAR), millions unless stated. FY2014–FY2025 on the client’s total-cost (as-reported) basis; 9M-2026 on the IFRS basis used in the master workbook, with both bases disclosed
Status	Management analysis prepared from trial balances and the client’s historical P&L. It is not an audit. Section 4 lists the information required before it can be relied on externally

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HOW TO READ THIS REPORT

Every figure in the narrative appears in the companion worksheet and can be traced to a source row: Table 1 (trend), Table 1 (continued — entity split), Table 2 (cost structure), Tables 3A–3D (problem areas) and Table 4 (turnaround actions). Where the workbook and this report differ from figures quoted elsewhere, Appendix A explains the basis. Three conventions matter: (i) FY2014–FY2025 are stated on the client's total-cost basis, in which outbound freight sits in cost of sales, so that every year is comparable; (ii) 9M-2026 columns show the nine months as reported, and are labelled "annualised" where multiplied by 4/3; (iii) the label EBITDA follows the client's own presentation, which charges factory depreciation inside cost of sales (Appendix A).

SECTION 1

Executive Summary and Loss Diagnosis

AIMS Industrial has spent twelve years converting a profitable fastener and metal-processing business into a loss-making one, and it has financed the transition with debt. In 2014 the Alif plant sold 23,037 tons at an average realised price of SAR 5,816 per ton and earned SAR 27.2m of gross profit, a 20.3% margin. In the twelve months to September 2026 it will sell roughly 48,800 tons — more than twice the tonnage — at SAR 3,453 per ton, and will lose about SAR 22.2m of gross profit. EBITDA has fallen from +SAR 18.6m to −SAR 40.1m over the same period; net result from +SAR 14.6m to an annualised −SAR 54.0m.

The single most important conclusion of this analysis is that **the loss is not a volume problem**. Tonnage in FY2025 (45,159 t) was 18.4% above the 2019 peak, and the 2026 run-rate is higher still. The company is selling more metal than ever and losing money on every ton, because the price it realises has fallen faster than the cost of converting and delivering it — and because the fixed and financial cost base that sits behind each ton was never resized for a smaller, lower-priced business.

The record shows three distinct breaks, and they compound:

1. **A price break.** Realised price fell 42% from SAR 5,951/t (2022) to SAR 3,453/t (2025 and 9M-2026) while delivered cost per ton fell only 34%. Between 2022 and 2023 alone, price took SAR 39.6m out of gross profit and unit cost added back only SAR 16.1m.
2. **A cost-structure break.** Raw materials rose from 61.2% of sales (2014) to 83.0% (2023) with no indexation mechanism to pass the commodity cycle through; direct labour has risen from 4.4% of sales (2023) to 11.9% (9M-2026); factory overhead per ton is still 54% above its best-absorption level of 2019; and outbound freight has exploded from 1.4% of sales (FY2025) to 7.4% (9M-2026).
3. **A funding break.** The losses consumed the equity: shareholders' equity fell from SAR 176.2m (2019) to SAR 17.7m at 30 September 2026, net debt stands at SAR 207.8m — 11.8 times equity — and finance cost is now SAR 11.6m a year, 7.0% of sales. Interest cover is −3.4 times.

Table 1.1 The twelve-year record — Alif standalone, SAR millions unless stated

Metric	FY2014	FY2016	FY2018	FY2020	FY2022	FY2023	FY2024	FY2025	9M-2026 annualised
Volume (tons sold)	23,037	32,014	28,812	36,751	37,298	24,159	35,702	45,159	48,833
Realised price (SAR/t)	5,816	2,742	3,728	3,445	5,951	4,313	3,786	3,453	3,453
Sales revenue	134.0	87.8	107.4	126.6	222.0	104.2	135.2	155.9	168.6
Gross profit / (loss)	**27.2**	**14.7**	**18.4**	**3.4**	**27.2**	**(5.8)**	**2.6**	**(0.9)**	**(22.2)**
Gross margin %	20.3%	16.7%	17.1%	2.7%	12.3%	(5.6%)	2.0%	(0.6%)	(13.2%)
EBITDA	**18.6**	**7.2**	**8.1**	**(13.3)**	**12.3**	**(28.0)**	**(10.6)**	**(28.7)**	**(40.1)**
Net profit / (loss)	14.6	4.1	3.7	(19.1)	6.0	(35.6)	(20.4)	(43.8)	(54.0)
Net debt (year-end)	13.8	21.5	59.7	46.2	116.6	62.7	126.4	222.5	207.8
Total equity	72.5	151.0	173.5	157.4	169.9	133.5	114.7	66.5	17.7

Source: workbook Table 1. FY2014–FY2025 as reported by the client (outbound freight inside cost of sales). The 9M-2026 column is the nine months to 30 September multiplied by 4/3; the nine-month reported figures are revenue SAR 126.5m, EBITDA −SAR 30.1m and net loss −SAR 40.5m. Volume for 9M-2026 is estimated (see Appendix A and Section 4).

1.1 Five findings that frame the diagnosis

The analysis in the companion workbook reduces to five findings. Each is quantified there and expanded in this report.

Finding 1 — Volume recovered; profit did not.

Tonnage collapsed 36.7% from 38,145 t (2019) to 24,159 t (2023), then recovered to 45,159 t in 2025 and a 48,833 t annualised run-rate in 2026 — 28% above the 2019 peak. EBITDA nonetheless fell from +SAR 14.3m (2019) to −SAR 28.7m (2025) and −SAR 40.1m annualised. Whatever the original cause of the 2019–2021 volume loss, the business has since recovered the volume at a price that destroys value.

Finding 2 — Price realisation, not unit cost, is the primary variable.

Average realised price fell 42% between 2022 and 2025 while cost per ton fell 34%. Gross profit per ton moved from +SAR 730 (2022) to −SAR 239 (2023), −SAR 20 (2025) and −SAR 454 in 9M-2026. The company is now pricing below the cash break-even price by 19.2% — the widest gap in the twelve-year record.

Finding 3 — Direct labour and outbound freight are the 2026 killers.

Direct labour rose from 4.35% of sales (2023) to 11.90% (9M-2026) and outbound freight from 1.43% to 7.43%. Together they added SAR 12.6m of cost in nine months — more than the entire gross loss of SAR 7.2m on the IFRS basis. Raw materials, by contrast, improved by 8.1 points of sales over the same period as steel and copper prices deflated.

Finding 4 — The balance sheet has been exhausted funding the losses.

Equity fell from SAR 176.2m (2019) to SAR 17.7m. Accumulated losses of SAR 107.3m exceed the SAR 35.3m share capital; the gap is filled by SAR 122.3m of shareholder contributions, SAR 101.0m of related-party loans and SAR 136.8m of Murabaha. Net debt is 11.8 times equity and finance cost absorbs 7.0% of sales — more than the gross margin the business earns.

Finding 5 — A credible portfolio closes about half of the gap.

The eight initiatives in Table 3.1 are worth SAR 18.6m of annual EBITDA, 11.0 points of sales, taking EBITDA from −SAR 40.1m to −SAR 21.6m and the margin from −23.8% to −12.8%. That is real, but it is not sufficient: SAR 21.6m of EBITDA break-even gap and SAR 35.9m of net break-even gap remain, and closing them requires either a price/mix restoration of roughly 12.8% or a deliberate decision about capacity and the shape of the group.

1.2 The loss is a price and cost problem, not a volume problem

The most common misreading of a loss in a capital-intensive plant is that it must be a volume problem: the plant is under-absorbed, overhead per ton is too high, and the answer is to sell more. The 2026 record rules that out. Volume is at an all-time high and the loss is at an all-time high with it, because the contribution earned on each additional ton has collapsed from SAR 1,704 (2014) to SAR 132 (9M-2026) — a 92% reduction. Selling more tons at SAR 132 of contribution cannot carry a fixed-cost base of SAR 55m.

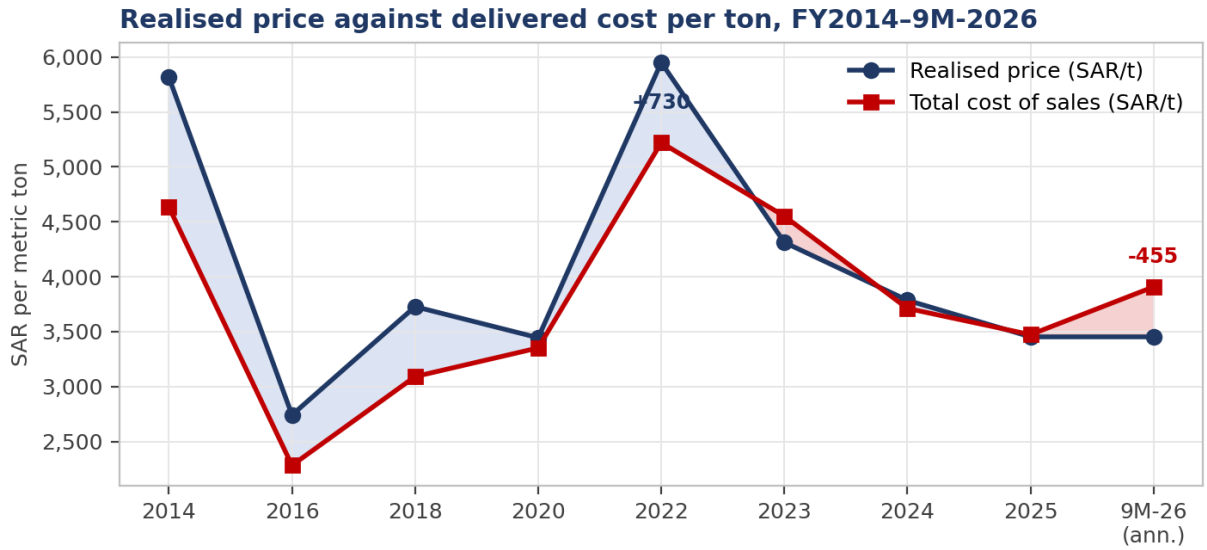


Figure 1.1 Realised price against total cost of sales per ton. The shaded area is gross profit or loss per ton: +SAR 730 in FY2022, −SAR 455 in 9M-2026. Source: workbook Table 1 and Table 3B.

Table 1.2 The price–cost scissors, SAR per metric ton

Per ton	FY2014	FY2019	FY2022	FY2023	FY2025	9M-2026
Realised price	5,816	3,830	5,951	4,313	3,453	3,453
Variable cost (materials, labour, freight, customs)	4,112	2,884	4,539	3,881	2,904	3,321
Contribution to fixed cost	**1,704**	**945**	**1,412**	**432**	**549**	**132**
Fixed factory overhead per ton	521	381	682	671	568	586
Break-even realised price at current volume and cost	4,979	3,547	5,619	5,102	4,105	4,275

Per ton	FY2014	FY2019	FY2022	FY2023	FY2025	9M-2026
Price headroom / (shortfall) to break-even	**+16.8%**	**+8.0%**	**+5.9%**	**(15.5%)**	**(15.9%)**	**(19.2%)**

Source: workbook Table 3A. Break-even price = (fixed factory overhead + S&D + G&A) ÷ volume + variable cost per ton. In FY2014–FY2022 the company carried 6–17% of price headroom; since FY2023 it has been 15–19% short of the break-even price.

Two numbers in Table 1.2 carry the argument. First, the contribution per ton of SAR 132 in 9M-2026 is below the SAR 381 of fixed factory overhead per ton, which is why break-even volume at the current cost and price is 264,948 tons against an actual run-rate of 48,833 — a volume the plant has never approached and almost certainly cannot physically produce. Second, the break-even price of SAR 4,275 is only 24% above today's price, which means the gap is closable through commercial action in a way that a doubling of volume is not.

The paradox of 2026

The company is growing its way into a deeper loss. Revenue is up 8.1% on FY2025 on the annualised basis, and EBITDA is down a further SAR 11.4m. When the contribution per ton is below the fixed cost per ton, growth is value-destructive: every extra ton must be priced, not just sold.

1.3 Where the margin went: the cost-structure decomposition

A per-ton comparison isolates the commercial problem; a percentage-of-sales comparison shows what has happened to the shape of the business. Both are needed, because between 2014 and 2026 sales fell in price while volumes rose, so the denominator itself moved.

Table 1.3 Cost structure as a percentage of sales

Line	FY2014	FY2023	9M-2026	Change 2014 → 9M-2026	What the movement says
Raw materials	61.2%	83.0%	74.9%	+13.7 pts	Commodity surge absorbed, not passed through; partial relief in 2026
Direct labour	7.5%	4.4%	11.9%	+4.4 pts	Absolute labour 3.3× the 2023 level on 21% more revenue
Factory overhead	9.0%	15.6%	17.0%	+8.0 pts	Spend grew 79% while tonnage was below 2019 in three years
Outbound freight	2.0%	2.6%	7.4%	+5.4 pts	SAR 7.2m of extra cost in nine months versus all of FY2025
Customs duties	0.0%	0.0%	1.8%	+1.8 pts	A new line: SAR 2.27m against nil in every prior year
Total cost of sales	**79.7%**	**105.6%**	**113.2%**	**+33.5 pts**	**COGS crossed 100% of sales in FY2023 and again in 2026**
Selling & distribution	0.2%	0.2%	0.1%	−0.1 pts	Small by nature; the cost sits in freight within COGS
General & administration	5.7%	12.5%	10.5%	+4.8 pts	FY2025 spike of SAR 26.9m is unexplained and must be split
Finance costs	1.5%	5.7%	7.0%	+5.5 pts	Working-capital debt funded the losses
Gross margin	**20.3%**	**(5.6%)**	**(13.2%)**	**−33.5 pts**	**Every point of price lost has become a point of debt**
EBITDA margin	**13.9%**	**(26.9%)**	**(23.8%)**	**−37.7 pts**	

Source: workbook Table 2. Percentages are of each year's own sales. Deltas are percentage points of sales; they mix price, volume and cost effects, which is why Table 1.2 and workbook Table 3B decompose the same movement per ton.

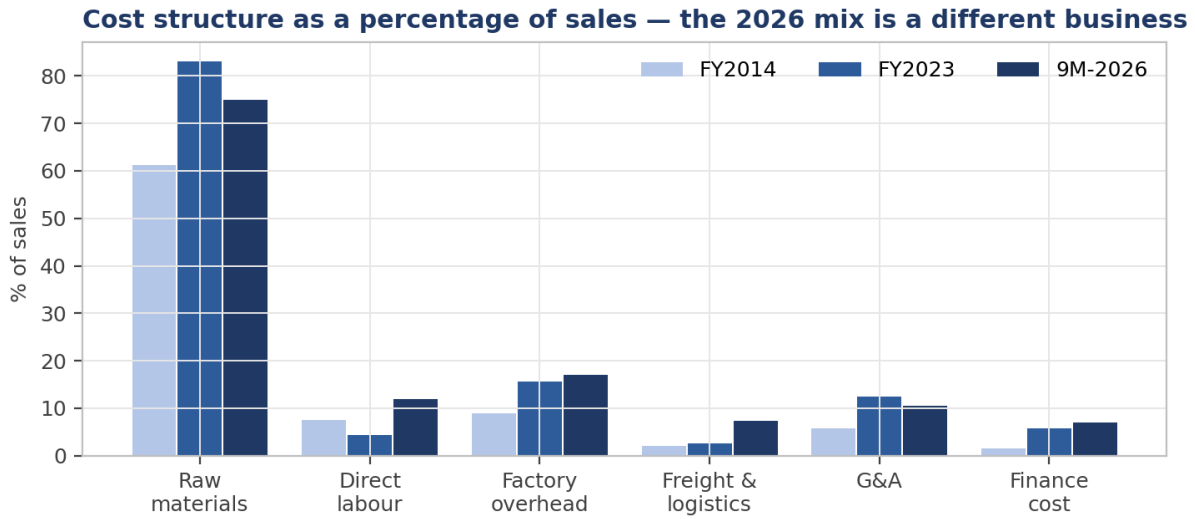


Figure 1.2 Cost structure as a percentage of sales, FY2014 / FY2023 / 9M-2026. Source: workbook Table 2.

Read together, the two tables tell a precise story. Raw materials went from 61% to 83% of sales between 2014 and 2023 because the input price rose and the selling price did not follow — the definition of an absent pass-through clause. In 2026 raw materials fell back to 74.9% as steel and copper deflated, but the benefit did not reach gross margin, because direct labour (+7.5 pts versus 2023) and outbound freight (+4.8 pts) absorbed it. That is the signature of a business with no contractual mechanism either to pass costs up or to capture them on the way down.

The per-ton decomposition in Table 3B of the workbook quantifies both episodes:

- **FY2022 → FY2023:** gross profit per ton fell SAR 969. Price took SAR 1,638 out of each ton; raw-material relief added back SAR 682; labour, overhead and freight added SAR 13. The loss was a pricing event, not a cost event.
- **FY2025 → 9M-2026:** the realised price is unchanged, but cost per ton rises SAR 435: raw materials +SAR 57 (despite the deflation, because mix shifted), labour +SAR 86, overhead +SAR 18, freight +SAR 207 and customs +SAR 62. This is the year in which the problem stopped being pricing and became cost execution.

1.4 The funding consequence: a solvent balance sheet only with shareholder support

The losses have been financed almost entirely by debt and shareholder money rather than by working-capital release. Net working capital peaked at SAR 156.4m in 2022 and is SAR 68.0m at 30 September 2026 — an SAR 88m release that was used to repay SAR 56.6m of Murabaha, not to rebuild equity. Over the same period net debt rose from SAR 116.6m to SAR 207.8m and finance cost from SAR 4.6m to SAR 11.8m a year.

Table 1.4 Balance-sheet and funding stress — Alif standalone, SAR millions unless stated

Metric	FY2019	FY2022	FY2023	FY2025	30-Sep-2026
Net working capital	96.7	156.4	71.8	128.2	68.0
Net debt (Murabaha + related parties − cash)	**61.5**	**116.6**	**62.7**	**222.5**	**207.8**
Total equity	176.2	169.9	133.5	66.5	17.7
Net debt ÷ equity	**0.35x**	**0.69x**	**0.47x**	**3.35x**	**11.76x**
Finance cost for the period	3.4	4.6	5.9	11.6	8.9
Interest cover (EBITDA ÷ finance cost)	4.2x	2.6x	(4.7x)	(2.5x)	(3.4x)
Cash conversion cycle (days)	271	280	248	302	189

Source: workbook Tables 1, 3C and 3D. The Sep-2026 finance cost is the nine-month charge of SAR 8.9m, not annualised. Net debt at Sep-2026 = Murabaha SAR 136.8m + related parties SAR 101.0m − cash SAR 30.0m; equity is SAR 17.7m after the nine-month loss of SAR 40.5m.

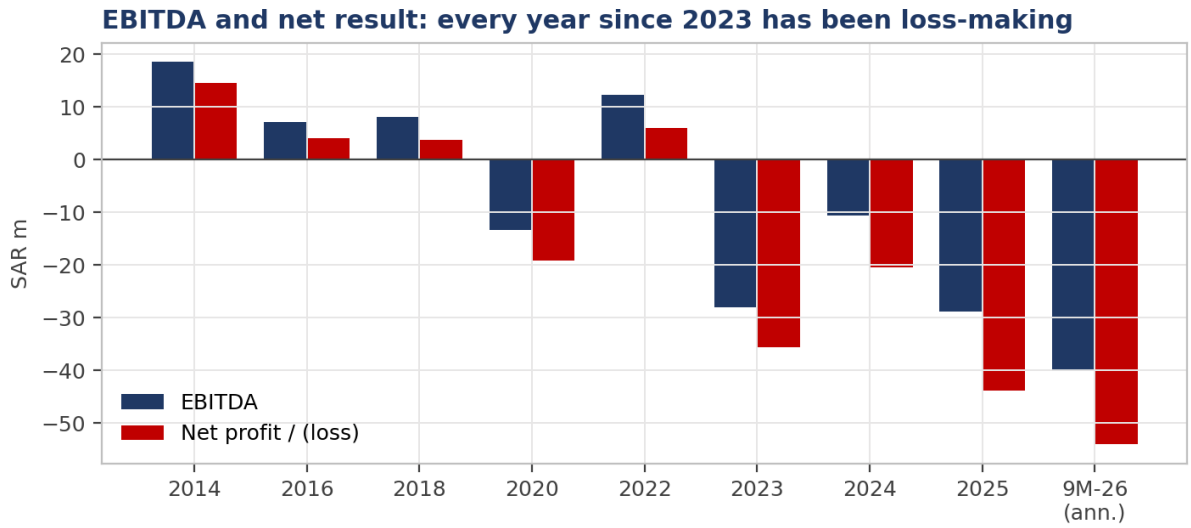


Figure 1.3 EBITDA and net result, FY2014–9M-2026 annualised. Source: workbook Table 1 and Table 3C.

Three observations follow. First, the company is not insolvent on a cash basis only because the shareholder continues to fund it: SAR 101.0m of the SAR 207.8m net debt is owed to AIMS Holding, and a further SAR 122.3m has been contributed as equity over the years. Second, the Murabaha repayment of SAR 56.6m in 9M-2026 was funded by liquidating inventory (down from SAR 118.0m at 31 December 2025 to SAR 68.8m) — a one-time source that cannot be repeated at scale. Third, at an interest cover of −3.4 times and a net-debt-to-equity ratio of 11.8, the covenant position, not the operating plan, is now the binding constraint on how long the turnaround has to work.

1.5 Reconciliation to the figures quoted in the brief

The brief quotes a gross margin of +20.3% for 2014 and −5.55% for 2023. Both are correct: they are the client's as-reported, total-cost figures, in which outbound freight is charged within cost of sales. The master workbook's IFRS statements show +22.33% and −2.95% for the same years because IAS 2 requires outbound freight to be presented in selling and distribution expenses rather than in the cost of inventory. Neither number is wrong; they answer different questions, and the difference is exactly the freight line.

Table 1.5 The same two years on both bases, SAR millions

Line	FY2014	FY2023
Sales revenue	134.0	104.2
Gross profit — total-cost (as-reported) basis	27.2	(5.8)
Less: outbound freight reclassified to selling & distribution	(2.7)	(2.7)
Gross profit — IFRS basis (as in IS_Alif / the master statements)	**29.9**	**(3.1)**
Gross margin — total-cost basis (the figures quoted in the brief)	**20.3%**	**(5.55%)**
Gross margin — IFRS basis (the master workbook statements)	22.33%	(2.95%)

Source: workbook Table 1, rows "Gross profit", "Outbound freight" and the memo IFRS gross margin; P&L_2014-2025 rows 12 and 24. The same reclassification explains the FY2014 gap of 2.0 points and the FY2023 gap of 2.6 points.

This report uses the total-cost basis for the long-run diagnosis because it is the only basis on which all twelve years are stated consistently and because it is the basis on which management has historically been measured. Where the IFRS basis changes the reading, both figures are given — as with the 9M-2026 gross margin of −13.2% (total-cost) and −5.73% (IFRS). Two further differences between the brief's figures and the workbook are worth recording: the workbook's EBITDA is struck after factory depreciation charged in cost of sales (Appendix A), and the 2023 result includes SAR 8.9m of bad debts that are treated below the gross-profit line, not within it.

1.6 The current-year bridge: what changed between FY2025 and the 2026 run-rate

Because the FY2026 story is where the turnaround must begin, the workbook rebuilds the movement from the last full year to the annualised nine-month run-rate, line by line. Revenue rises SAR 12.7m; cost rises SAR 22.7m; EBITDA falls a further SAR 11.4m.

Table 1.6 EBITDA bridge, FY2025 → 9M-2026 annualised (SAR millions)

Driver	SAR m	Comment
Sales revenue	+12.7	Volume +8.1% on FY2025; realised price unchanged at SAR 3,453/t
Raw materials	(12.1)	Absolute spend up despite a 2% fall in the input price — mix and yield, not price
Direct labour	(5.4)	From 9.4% to 11.9% of sales: the single largest deterioration in structure
Factory overhead	(3.0)	Fixed cost not resized; overhead per ton up from SAR 568 to 586
Outbound freight	(10.3)	From 1.4% to 7.4% of sales — the decisive 2026 variance
Customs and inbound freight	(3.3)	A line that did not exist in any prior year
Selling & distribution	+1.4	Lower advertising, commission and buffet spend
General & administration	+9.2	FY2025 carried an unexplained SAR 26.9m; the 2026 run-rate is SAR 17.7m
Impairment / inventory adjustments	(0.7)	FY2025 carried a net credit that does not repeat
Net change in EBITDA	**(11.4)**	**EBITDA −28.7m (FY2025) → −40.1m (9M-2026 annualised)**

Source: workbook Table 1, nine-month column annualised at 4/3. The same movement decomposed by price, volume and unit cost (rather than by cost line) shows gross profit falling SAR 21.3m: price nil, volume −SAR 0.07m at a negative gross profit per ton, and unit cost −SAR 21.2m.

The bridge is a warning about where management attention should go. Even if the freight and customs increases — together SAR 13.6m of annualised cost — were fully reversed, the business would still be loss-making, because the structural gap left by price realisation and labour cost is larger than the freight spike. The plan in Section 3 therefore has to work on all four pillars at once: price, overhead, freight and finance.

SECTION 2

Alif versus VH: Standalone Analysis

The group is the sum of two businesses with opposite margin profiles and the same funding problem. Alif is a fastener manufacturer with an export book and a fourteen-year history; VH is a copper bus-bar processor that was brought into the group and is consolidated from 1 January 2026. Their nine-month results are shown separately in the continued part of Table 1 of the workbook and are reproduced here, because the consolidated numbers obscure which business is losing the money and why.

Table 2.1 Income statement by entity, nine months to 30 September 2026 (SAR millions)

Line	Alif	VH	Eliminations	Consolidated	Consol. % of sales
Sales revenue	126.47	44.44	—	170.91	100.0%
Cost of sales (IFRS presentation)	(133.72)	(41.95)	—	(175.67)	(102.8%)
Gross profit / (loss)	**(7.25)**	**2.49**	**—**	**(4.75)**	**(2.8%)**
Gross margin %	(5.73%)	5.61%	—	(2.78%)	
Selling & distribution	(9.53)	(0.21)	—	(9.74)	(5.7%)
of which outbound freight	(9.40)	(0.19)	—	(9.59)	(5.6%)
General & administration	(13.32)	(1.70)	—	(15.01)	(8.8%)
EBITDA	**(30.10)**	**0.59**	**—**	**(29.51)**	**(17.3%)**
EBITDA margin %	(23.80%)	1.32%	—	(17.27%)	
Depreciation & amortisation	(1.89)	(1.08)	—	(2.97)	(1.7%)
Finance costs	(8.88)	(0.86)	—	(9.74)	(5.7%)
Net profit / (loss)	**(40.50)**	**(1.36)**	**—**	**(41.85)**	**(24.5%)**
Net margin %	(32.02%)	(3.05%)	—	(24.49%)	

Source: workbook Table 1 (continued), linked to IS_Consol columns C–F. All of Alif's loss and all of VH's gross profit are entity-level, not consolidation effects; there is no intercompany trading in the trial balances.

2.1 Alif: 74% of revenue and 100% of the loss

Alif is the whole of the problem. It carries 74% of group revenue, a negative gross margin of 5.7% and a negative EBITDA of SAR 30.1m, which is more than the entire group loss before VH's small contribution. Its cost structure explains why: raw materials are 74.9% of sales, direct labour 11.9%, factory overhead 17.0% (including SAR 6.49m of machinery depreciation) and outbound freight 7.4%. Adding customs and inbound freight, the conversion-and-delivery block is 113% of sales.

Per ton, the nine-month figures are: realised price SAR 3,453; cost of sales SAR 3,908; gross loss SAR 454 per ton; EBITDA −SAR 822 per ton; fixed factory overhead SAR 586 per ton against a best-absorption rate of SAR 381 achieved in 2019. In other words, the plant is carrying SAR 205 per ton — SAR 7.5m in the nine months, SAR 10.0m annualised — of overhead that a properly loaded plant would not carry, on top of a price that is 19.2% below the break-even price.

Two structural features of Alif's P&L deserve board attention because they are within management's control and are large relative to the loss:

- **Direct labour at SAR 411 per ton**, up from SAR 325 in FY2025 and SAR 203 in FY2022, on volume that is higher than either year. The step-up is concentrated in outside-contractor labour (GL 520044, SAR 5.13m in nine months). This is a manning and productivity issue, not a wage-rate issue, and it is reversible inside twelve months.
- **Outbound freight at SAR 257 per ton**, five times the FY2025 rate of SAR 49, of which export freight (GL 700067) is SAR 6.93m. Freight is the only line in the 2026 accounts that can be moved by a single commercial decision — a twelve-month contract — and it is worth SAR 10.3m annualised on its own.

2.2 VH: margin-positive, cash-negative, and too small to absorb its asset base

VH earns a 5.61% gross margin and a 1.32% EBITDA margin on SAR 44.4m of sales. On the face of it, VH is the healthy half of the group. Three facts qualify that reading.

First, the margin is thin in absolute terms: SAR 2.49m of gross profit does not cover VH's own depreciation (SAR 1.08m) and finance cost (SAR 0.86m), so VH is loss-making at the net line (−SAR 1.36m) despite a positive EBITDA. Its asset base of SAR 27.4m of property, plant and equipment is being sweated at 1.6 times revenue — the classic under-absorbed processor.

Second, VH's raw-material ratio is 87.5% of sales, twelve points higher than Alif's. VH is more exposed to the copper price than Alif is to steel, and it has no indexation clause either. A 5% adverse move in copper on VH's raw-material bill would be SAR 1.9m — more than its entire gross profit.

Third, VH consumed cash in 2026 rather than generating it: inventories rose from SAR 7.9m at 1 January to SAR 32.2m at 30 September, an increase of SAR 24.3m, and operating cash flow was −SAR 26.5m. That build was funded by SAR 19.8m of new Murabaha and SAR 7.5m of additional related-party funding. VH's net debt is now SAR 57.4m against equity of SAR 5.4m — 10.7 times, essentially the same leverage as Alif.

Table 2.2 Balance sheet and cash by entity at 30 September 2026 (SAR millions)

Line	Alif	VH	Eliminations	Consolidated
Inventories	68.75	32.18	—	100.93
Trade receivables	21.53	6.77	—	28.30
Trade payables & accruals	(22.24)	(3.25)	—	(25.49)
Short-term Murabaha loans	(136.85)	(19.77)	—	(156.62)
Due to related parties	(101.03)	(40.40)	19.24	(141.41)
Cash and cash equivalents	30.03	2.76	—	32.80
Net debt	**(207.84)**	**(57.41)**	**19.24**	**(265.24)**
Total equity	**17.67**	**5.38**	**19.24**	**23.08**
Operating cash flow (9M)	4.68	(26.54)	—	(21.86)
Financing cash flow (9M)	27.74	27.27	—	55.02

Source: workbook Table 1 (continued), BS_Consol and CF_Consol. The SAR 19.2m intercompany elimination is the difference between Alif's receivable from VH and VH's payable to Alif, carried as an equity line pending reconciliation (see Appendix B, L6).

2.3 What consolidation reveals — and what it conceals

Consolidation improves every margin ratio and none of the economics. Alif's −5.73% gross margin becomes −2.78% at group level because VH's positive margin is added to it, but the consolidated gross loss is still SAR 4.75m and the consolidated EBITDA is still −SAR 29.5m, or −17.3% of sales. Consolidation also adds leverage: group net debt of SAR 265.2m against group equity of SAR 23.1m is 11.5 times, and the group's operating cash outflow of SAR 21.9m is worse than Alif's standalone inflow of SAR 4.7m because VH absorbed SAR 26.5m of cash.

The board should therefore read the group accounts with three adjustments in mind:

1. **Alif is the turnaround.** VH's contribution to group EBITDA (SAR 0.59m) is smaller than the rounding error in Alif's freight line. VH matters for cash and for consolidation quality, not for the profit problem.
2. **VH is a scale decision.** A SAR 27.4m asset base generating SAR 44.4m of revenue and SAR 2.5m of gross profit cannot service SAR 57.4m of net debt. VH needs either volume, a price reset or integration with Alif's commercial and back-office functions.
3. **The group is more leveraged than its largest entity.** Net debt rises by SAR 57.4m when VH is added while equity rises by only SAR 5.4m — the group, not Alif, is the entity that negotiates with the banks.

2.4 Earnings-quality findings that change the comparison

Four items in the underlying ledgers materially affect the comparison and are carried in the workbook's data-quality register (Appendix B). They are set out here because a board reading the consolidated accounts would not see them.

Table 2.3 Earnings-quality items affecting the entity comparison

Item	Effect on the reported numbers	Treatment in this analysis
Applied overhead credit inside raw materials (GL 520041): SAR 11.49m at Alif, SAR 1.40m at VH	Reduces the reported raw-material ratio by roughly 9 points of sales and flatters gross margin by the same amount	Disclosed as an overlay; the trend is unaffected because the credit is present in every historical period, but the absolute margin level is overstated
VH negative inventory balance (GL 180005 appears twice, −SAR 1.47m and +SAR 1.47m)	Net nil to the balance sheet, but distorts stock-code level margin and ageing analysis	To be corrected in VH's ledger before inventory ageing is used for the liquidation plan
Intercompany difference of SAR 19,243.86 (Alif a/c 270005 vs VH a/c 330004)	Carried as a consolidation equity line; no P&L effect	Must be confirmed by both accountants before the year-end audit
FY2023 bad debts SAR 8.93m and the FY2024 reversal of SAR 5.12m; FY2024 inventory adjustment SAR 3.15m	Distorts 2023–2024 EBITDA by up to 8.6% of sales in one year	Shown below the gross-profit line and called out wherever the years are compared

Source: workbook limitations L4–L7 and Problem_Areas_&_Solutions items 5 and 9.

2.5 What the comparison implies for the turnaround

Three of the eight initiatives in Section 3 are group initiatives rather than Alif initiatives, and the comparison is what makes them credible:

- **Shared services (action 8).** Two finance, HR and procurement functions for SAR 170.9m of revenue is a cost structure designed for a much larger group. Merging them is worth SAR 2.6m and requires no commercial risk.
- **One freight platform (action 5).** Alif spends 7.4% of sales on outbound freight and VH 0.4%; the two are negotiating separately with the same carriers. A single contract with two carriers plus an NVOCC is the fastest SAR 3.3m in the plan.
- **One pricing policy (actions 1 and 2).** Neither entity has an indexation clause, and VH's raw-material ratio is higher than Alif's. A single commercial policy — index-linked contracts, a 12% contribution floor, quarterly customer-level margin review — is easier to enforce at group level than entity by entity.

Conversely, the comparison also shows what not to do: consolidating two loss-making or marginally profitable entities does not create a viable one. VH is not a solution to Alif's loss, and Alif's volume cannot be diverted to fill VH's capacity — the products, the customers and the cost drivers are different. The group's answer has to be operational and commercial in each entity, with shared overhead as the only genuinely common lever.

SECTION 3

The Four-Pillar Turnaround Plan

The plan is built from the bottom up rather than from a target margin backwards. Each initiative is sized against the 9M-2026 run-rate (sales SAR 168.6m annualised, EBITDA −SAR 40.1m), assigned a baseline, a target and a named owner, and tested for whether it is within management's control. The eight initiatives are grouped into the four pillars the brief requires: commercial and pricing, operational and capacity, logistics, and financial and working capital.

Table 3.1 The turnaround portfolio — annualised EBITDA impact and margin recovery

Initiative	Pillar	Baseline (9M-2026)	Target (12–18 months)	EBITDA (SAR m)	Margin (pts)
1. Raw-material indexation and pass-through clause	Commercial & pricing	RM 74.9% of sales; no contractual indexation	RM 74.9% → 73.4% (+1.5 pts recovery)	2.53	1.50
2. Minimum export margin gate and SKU / lane pruning	Commercial & pricing	Gross profit −SAR 454/t; ~8% of revenue at negative contribution	8% of revenue re-priced at +12% contribution	1.62	0.96
3. Factory overhead rationalisation and shift alignment	Operational & capacity	Overhead 17.0% of sales (SAR 21.5m in 9M)	15.3% of sales (−1.68 pts)	2.83	1.68
4. Direct-labour productivity reset	Operational & capacity	Direct labour 11.9% of sales; SAR 411/t	10.0% of sales (−1.90 pts)	3.20	1.90
5. Export freight contract lock-in and modal shift	Logistics & supply chain	Freight 7.4% of sales (SAR 9.40m in 9M)	5.5% of sales (−1.93 pts)	3.25	1.93
6. Working-capital liquidation and Murabaha pay-down	Financial & working capital	Net debt SAR 207.8m; finance cost 7.0% of sales	−SAR 26m net debt → −SAR 1.3m finance cost	1.69	1.00
7. Credit control and bad-debt avoidance	Financial & working capital	Bad debts SAR 8.9m in FY2023 (8.6% of sales); nil in 9M-2026	Provision capped at 0.50% of sales	0.84	0.50
8. G&A reset and shared services with VH	Financial & working capital	G&A 10.5% of sales (SAR 13.3m in 9M)	9.0% of sales (−1.53 pts)	2.58	1.53
Total portfolio				**18.56**	**11.00**

Source: workbook Table 4. Impacts are gross, annualised and measured against the 9M-2026 run-rate; no allowance is made for implementation cost, redundancy or the time value of actions that take 12–18 months. Action 6 is an interest saving, not an operating margin.

Table 3.2 What the portfolio delivers against the break-even requirement

Line	SAR m	Comment
EBITDA — 9M-2026 annualised	(40.13)	−23.8% of sales
Turnaround portfolio	18.56	11.0 points of sales
EBITDA after the portfolio	**(21.58)**	**−12.8% of sales**
Residual gap to EBITDA break-even	**21.58**	**Equivalent to a 12.8% price uplift on run-rate revenue**
Finance cost (annualised)	11.84	7.0% of sales
Depreciation & amortisation (annualised)	2.51	Non-production D&A shown below EBITDA
Residual gap to net break-even	**35.93**	**EBITDA must also cover finance cost and D&A**
Equivalent additional tonnage at SAR 132 contribution per ton	163,671 t	Three times current capacity utilisation — not a volume solution

Source: workbook Table 4, rows 153–159. Finance cost and D&A are the 9M-2026 charges multiplied by 4/3.

The arithmetic sets the tone for everything that follows. The portfolio is worth SAR 18.6m — real money, and enough to halve the operating loss — but it leaves SAR 21.6m to EBITDA break-even and SAR 35.9m to net break-even. No cost-reduction programme of this size can close that gap: the residual has to be closed by price and mix, by a capacity decision, or by restructuring the capital structure. Sections 3.1–3.4 deal with the controllable cost; Section 3.6 deals with the residual.

3.1 Pillar 1 — Commercial and pricing

The commercial pillar attacks the largest single number in the analysis: the gap between the realised price of SAR 3,453 per ton and the break-even price of SAR 4,275. It has two instruments — indexation, which protects the margin from the next commodity cycle, and a margin gate, which stops the business from accepting orders that lose money today.

Action 1 — Raw-material indexation and pass-through clause (SAR 2.53m, 1.5 pts)

Every top-ten customer contract receives a quarterly steel and copper index clause with a ±2% trigger and a 30-day lag. No order is accepted below the indexed cost, and a monthly price–variance report goes to the board. The arithmetic is simple: raw materials are SAR 126.3m of the annualised cost base, so each 1% of cost that is passed through is worth SAR 1.26m of EBITDA. The target of 1.5 points of sales assumes only a partial recovery of the 2.1 points of raw-material-to-sales deterioration seen in 2026.

The evidence that this is a contract-design failure rather than a market failure is in the record: raw materials went from 61.2% to 83.0% of sales between 2014 and 2023 while the selling price fell, and then fell back to 74.9% in 2026 without any margin recovery. Prices moved in both directions and the company captured neither.

Action 2 — Minimum export margin gate and SKU / lane pruning (SAR 1.62m, 0.96 pts)

A quote floor of 12% contribution after freight is introduced, and the bottom 8% of revenue by contribution is either re-priced or exited. The bottom 20 SKUs and the five weakest export lanes are reviewed quarterly against the floor. Re-pricing 8% of revenue at a 12% contribution adds SAR 1.62m. This is deliberately conservative: it assumes that roughly a third of the targeted revenue is lost rather than re-priced.

Table 3.3 Sensitivity of EBITDA to the main commercial and cost variables (annualised, SAR m)

Variable	Move	EBITDA impact	Why it matters
Realised price	±1%	±1.69	Each 1% of price is worth more than the entire G&A saving in action 8
Contribution per ton	±SAR 50	±2.44	48,833 tons × SAR 50; the fastest lever in the plan
Volume	±1,000 t	±0.13	At SAR 132 of contribution per ton, volume is almost irrelevant to profit
Raw-material cost	±1 pt of sales	∓1.69	The indexation clause is a margin-protection instrument, not a saving
Outbound freight	±1 pt of sales	∓1.69	Freight is now as large a lever as price
Fixed factory overhead	±5%	∓1.43	Annualised overhead of SAR 28.6m
Finance cost	±100 bp on net debt of SAR 207.8m	∓2.08	Rate and debt reduction matter as much as operations

Source: workbook Tables 1, 3A and 4. Sensitivities are independent and not additive.

3.2 Pillar 2 — Operational and capacity

The operational pillar addresses the fact that the plant is carrying a fixed cost base built for a different business. Fixed factory overhead was SAR 12.0m in 2014, SAR 25.4m in 2022 and SAR 28.6m annualised in 2026, while tonnage in two of those years was below the 2019 peak. Overhead per ton of SAR 586 compares with SAR 381 in 2019 — a penalty of SAR 205 per ton, or SAR 10.0m a year.

Action 3 — Factory overhead rationalisation and shift alignment (SAR 2.83m, 1.68 pts)

Shifts are aligned to the firm order book (three eight-hour shifts across five days rather than a seven-day pattern), leased space is consolidated, plating and heat treatment are outsourced below 60% utilisation, and fixed headcount is frozen. The target is 15.3% of sales, a 1.68-point reduction — less than half of the available SAR 10.0m penalty, because a plant cannot be run at 2019 absorption on 2026 volumes.

This action cannot be taken to its conclusion without the nameplate capacity data in Section 4. If the plant's practical capacity is, say, 55,000 tons and the order book is 48,800, the overhead is roughly right-sized; if practical capacity is 75,000 tons, the board is running a plant that is structurally one-third empty and the right answer is a capacity decision, not a cost cut.

Action 4 — Direct-labour productivity reset (SAR 3.20m, 1.90 pts)

Direct labour has gone from SAR 203 per ton (2022) to SAR 325 (2025) and SAR 411 (9M-2026) — an increase of 102% in four years on rising volume. The action combines piece-rate terms for outside labour (GL 520044, SAR 5.13m in the nine months), a manning ratio per machine hour, overtime approved at general-manager level, and a monthly productivity dashboard by line. The target of 10.0% of sales is deliberately above the

7.5% achieved in 2014 and the 9.4% of FY2025: it assumes the business stays materially more labour-intensive than it was.

3.3 Pillar 3 — Logistics

Freight is the fastest-moving and most reversible line in the accounts. Outbound freight was SAR 2.2m in FY2025 (1.4% of sales) and SAR 9.4m in the first nine months of 2026 (7.4%), with export freight alone at SAR 6.93m and drayage at SAR 0.77m. On an annualised basis the line is SAR 12.5m — more than the entire general and administration cost of the business in 2014.

Action 5 — Export freight contract lock-in and modal shift (SAR 3.25m, 1.93 pts)

Twelve-month FAK contracts are signed with two carriers plus an NVOCC; FCL consolidation replaces ad-hoc LCL where volume allows; the drayage contract is tendered; and an in-country review of CIF sales and incoterms shifts freight cost to customers where the commercial position allows. The target is 5.5% of sales, still four times the FY2025 level — the plan does not pretend that the 2025 rate is recoverable.

Alongside it sits a customs-classification review. Customs duties of SAR 2.27m appear for the first time in 2026 and no prior year carries a comparable charge. If the classification is correct, the cost must be recovered in price; if it is not, there is a recovery to be claimed. Either way it should not be left unmanaged inside a 1.8-point cost line.

3.4 Pillar 4 — Financial and working capital

The financial pillar is where the balance sheet is stabilised. Deleveraging does not create EBITDA, but in this company it is the difference between a business that can be turned around and one that is wound up by its lenders. Three actions sit inside the EBITDA portfolio; a fourth, larger action sits outside it.

Action 6 — Working-capital liquidation and Murabaha pay-down (SAR 1.69m, 1.00 pt)

Inventory is reduced from SAR 68.8m to SAR 45m, DSO from 62 to 55 days, and the proceeds applied to Murabaha at an assumed 6.5% profit rate. A SAR 26m reduction in net debt saves SAR 1.69m of finance cost — an interest saving, not an operating margin, which is why it is flagged separately in the workbook. The cash conversion cycle has already improved from 302 days (FY2025) to 189 days; a 120-day benchmark would release a further SAR 12.6m.

Action 7 — Credit control and bad-debt avoidance (SAR 0.84m, 0.50 pts)

Credit insurance on export receivables, LC-only terms in three high-risk markets, and a monthly ageing review with a provisioning policy capped at 0.5% of sales. The rationale is the FY2023 experience, when bad debts of SAR 8.9m — 8.6% of sales — turned an already poor year into a catastrophic one. This action does not create profit; it prevents a repeat.

Action 8 — G&A reset and shared services with VH (SAR 2.58m, 1.53 pts)

Finance, HR and procurement are merged with VH; headcount is frozen; rent and professional fees are renegotiated; and costs are reported by department rather than by nature. G&A was 10.5% of sales in the 2026 run-rate against 5.7% in 2014 and 12.5% in 2023, and the FY2025 figure of SAR 26.9m contained SAR 23.4m of administrative salaries against SAR 10.2m in FY2024 — a step-up that has never been explained and that must be split between recurring and one-off before the target is fixed.

Outside the EBITDA portfolio: converting shareholder debt to equity

The operating plan does not change the fact that the company is financed almost entirely by its shareholder and its bank. SAR 101.0m of the SAR 207.8m net debt is owed to AIMS Holding. Converting that loan into equity would reduce net debt to SAR 106.8m against equity of SAR 118.7m — a net-debt-to-equity ratio of 0.9 times instead of 11.8 — and would give the operating turnaround the two years it needs. It is not an EBITDA

action and is not counted in Table 3.1, but without it the covenant position, not the plan, will determine the outcome.

3.5 Sequencing, governance and the metrics that matter

The plan is sequenced by how quickly each action can be executed and how reversible it is. The first six months are dominated by commercial and contractual actions that require no capital; the second half of the first year is when the operational changes take effect; the structural questions come after the data in Section 4 has been assembled.

Table 3.4 Implementation sequencing, owners and milestones

Horizon	Actions	Milestones and KPIs	Owner
0–6 months	1, 2, 5, 6, 7	Index clause signed with the top 10 customers · freight contracts tendered and signed · inventory reduced to SAR 55m · DSO at 55 days · monthly price–variance pack to the board	CEO / CFO
6–12 months	3, 4, 8	Shift pattern aligned to the order book · contractor labour converted to piece rates · G&A at 9.0% of sales · shared services live with VH · contribution per ton above SAR 400	COO / HR
12–18 months	Structural	Capacity decision taken on nameplate data · customer and regional mix re-based · shareholder debt converted · group funding renegotiated with the banks	Board
Monthly throughout	All	13-week cash forecast · EBITDA bridge against plan · contribution per ton by customer and lane · covenant headroom certificate	CFO

Source: analysis. Owners are indicative and should be confirmed at the first board review.

Three governance points determine whether the portfolio is delivered. First, the plan must be reported monthly as an EBITDA bridge — plan versus actual by initiative, not as a single variance number — because the actions sit on different cost lines and a single number hides which ones are working. Second, the commercial actions must be delegated to a single commercial owner with authority to walk away from orders, otherwise the margin gate will be negotiated away customer by customer. Third, the cash forecast must run thirteen weeks ahead and be reviewed by the board, because the balance sheet, not the P&L, is the constraint that binds first.

3.6 What the plan cannot fix: the residual structural gap

After all eight initiatives, the business still loses SAR 21.6m of EBITDA and SAR 35.9m after finance cost and depreciation. That residual is structural, and the board has four ways to deal with it — none of which is a cost programme.

1. **Price restoration.** The residual is equivalent to a 12.8% uplift on run-rate revenue. The market may not bear it in full, but a 12.8% uplift is less than the 19.2% gap to the break-even price, and it is the only lever large enough to close the gap without a structural change.
2. **Mix.** The analysis cannot currently show which customers, products and regions earn and which do not, because the margin breakdown does not exist (Section 4.3). Reallocating volume from negative-contribution SKUs to the best export lanes could reasonably deliver a third of the residual — but it has to be measured before it can be promised.
3. **Capacity.** If nameplate capacity is materially above the 48,800-ton run-rate, the fixed-cost penalty of SAR 10.0m is structural and the choice is between filling the plant, consolidating production onto one line, or exiting the unviable part of the range. This decision cannot be taken on the present data (Section 4.2).
4. **Capital structure.** Converting the SAR 101.0m shareholder loan to equity does not change EBITDA, but it converts 11.8 times leverage into 0.9 times and buys the time for actions 1–8 to mature. Combined with a standstill on Murabaha amortisation, it is the difference between a turnaround and a liquidation.

THE HONEST SUMMARY FOR THE BOARD

The eight initiatives are credible, are within management control, and halve the operating loss. They do not make the

business profitable. Profitability requires the price/mix restoration described above, a capacity decision that cannot be taken without the nameplate data, and a capital restructuring that only the shareholder can authorise. The plan should be approved as a package of all three — not as a cost programme with two open questions attached.

SECTION 4

Missing Data Required to Complete the Diagnosis

This analysis rests on two trial balances and a management P&L. It is sufficient to establish the direction and the scale of the problem — the price–cost scissor, the cost-structure break and the funding consequence are visible in the ledgers themselves — but it is not sufficient to take three of the four decisions the board must take: whether the fixed cost base is structurally wrong, which customers and lanes are worth keeping, and how much cash is genuinely recoverable from inventory and receivables.

Four information gaps are decision-critical. They are listed in the order in which they block the turnaround, with the specific documents required, the figures they would change, and the owner and deadline proposed for each.

Table 4.1 The four decision-critical data gaps

#	Information required	Why it is decision-critical	Effect on this analysis	Owner · by
4.1	FY2025 audited financial statements and the FY2024 comparatives, including all notes and the auditor's report	The 2026 statements open on balances that differ from the client's historical balance sheet; the FY2025 P&L is unaudited and carries an unexplained G&A step-up	Sets the FY2025 baseline, validates the SAR 37.4m working-capital release and the covenant position	CFO · 10 working days
4.2	Nameplate and practical capacity for both plants, by line and shift pattern, with utilisation and bottlenecks	Fixed overhead is SAR 205 per ton above its best-absorption level — SAR 10.0m a year. Whether that is waste or structural emptiness cannot be known without capacity	Decides whether action 3 is a cost cut or a capacity decision, and sizes the third strategic lever in Section 3.6	COO · 15 working days
4.3	Revenue, price and contribution after freight by customer (top 20), SKU family and export lane	Actions 1 and 2 (SAR 4.15m) depend on knowing which 8% of revenue is below the contribution floor and where the pricing power sits	Converts the mix hypothesis from qualitative to quantified; could add or remove a third of the residual gap	Sales director / CFO · 15 working days
4.4	Inventory ageing by stock code and receivable ageing by customer and market, with NRV and provisioning analysis	Inventory of SAR 68.8m at Alif and SAR 32.2m at VH; 188 and 209 days of stock. Action 6 assumes SAR 23.8m can be released — that requires evidence of what is saleable	Sizes and times action 6, the SAR 12.6m excess working capital and the provisioning requirement	CFO / supply chain · 15 working days

Source: analysis. Deadlines are proposed from the date of this report and should be confirmed at the first board review.

4.1 FY2025 audited financial statements (and the FY2024 comparatives)

What is required

The complete audited financial statements for the year ended 31 December 2025 for Alif and for VH — the four primary statements, all notes and the auditor's report — together with the prior-year comparatives. The notes that matter most are: revenue (by segment and by customer if disclosed), cost of sales and depreciation, related parties and the terms, rates and maturities of the Murabaha and shareholder balances, inventory (ageing, NRV and any write-down), provisions for end-of-service indemnities and evacuation, zakat and contingencies, and the going-concern statement.

Why it is decision-critical

The FY2025 figures used throughout this report — revenue SAR 155.9m, gross margin −0.57%, EBITDA −SAR 28.7m, net loss SAR 43.8m — come from the client's management P&L, not from an audited statement. Two specific problems follow from that.

First, the 2026 statements open on balances that do not agree with the historical balance sheet. At 1 January 2026 the trial-balance opening shows inventories of SAR 106.1m against SAR 118.0m on the historical BS, trade receivables of SAR 19.2m against SAR 34.6m, prepaid expenses of SAR 5.7m against SAR 10.4m and payables of SAR 16.2m against SAR 24.4m — a gross difference of SAR 23.8m. The workbook's problem-areas register explains part of this as audit reclassifications of SAR 6.5m; the balance, including a SAR 11.9m inventory difference, is unexplained. It matters because the reported operating cash inflow of SAR 4.7m and

the working-capital release of SAR 37.4m — the numbers used to argue that the balance sheet is being managed — depend on which opening balance is correct.

Second, FY2025 contains two large unexplained movements that distort every year-on-year comparison. General and administrative expense rose from SAR 14.3m (FY2024) to SAR 26.9m, of which administrative salaries were SAR 23.4m against SAR 10.2m a year earlier — a step-up of SAR 13.2m that is not explained in any note and that determines whether the 2026 G&A reduction of SAR 9.2m is a genuine saving or the reversal of an anomaly. In the same year there was a SAR 5.12m bad-debt reversal. Neither can be classified without the audited notes.

What it would change in this report

- The FY2025 baseline in Tables 1.1 and 1.6 and in workbook Table 4 — the bridge from FY2025 to 2026 assumes the FY2025 cost lines are a clean base.
- The credibility of the SAR 37.4m inventory release and therefore of action 6 (SAR 1.69m) and of the deleveraging narrative in Section 1.4.
- The going-concern and covenant assessment, which currently relies on an equity figure of SAR 66.5m at 31 December 2025 and SAR 17.7m at 30 September 2026 that have not been audited.

4.2 Nameplate capacity for both plants

What is required

For Alif and VH separately: nameplate capacity in tons per year by line and by machine; practical capacity at the current shift pattern; actual utilisation and OEE; scrap and rework rates; changeover times; the identity of the bottleneck process (plating and heat treatment are the usual constraints in fastener plants); the capacity of outsourced processes; and the maintenance capital required to sustain nameplate output.

Why it is decision-critical

The analysis shows a fixed-overhead penalty of SAR 205 per ton against the best absorption achieved in 2019 — SAR 7.5m in nine months and SAR 10.0m annualised. There are two possible explanations, and they lead to opposite decisions. Either the overhead base is inefficient and can be cut (action 3), or the plant is structurally empty and the answer is to consolidate production, fill the plant or exit part of the range. The break-even volume calculation makes the stakes explicit: at the current contribution of SAR 132 per ton, the plant would need 264,948 tons a year to break even — against a run-rate of 48,833 tons. If nameplate capacity is 55,000 tons, the business needs a price and mix solution; if it is 120,000 tons, it needs a capacity decision.

What it would change in this report

- Whether action 3 is a cost reduction of SAR 2.83m or the first step in a plant reconfiguration.
- The size of the residual gap and the weighting between the four strategic options in Section 3.6.
- The capital plan: a plant that is structurally empty does not need maintenance capex at the current level (SAR 3.9m in the first nine months of 2026).

4.3 Customer and regional margin breakdown

What is required

For the last twelve months and by month: revenue, volume, realised price, direct cost and contribution after freight for the top 20 customers, each SKU family and each export lane or region; the incoterm on each sale; discount and deduction detail; quotation win/loss rates and the reasons for losses; and the identity of the roughly 8% of revenue that is currently at negative contribution.

Why it is decision-critical

The two commercial actions — indexation (SAR 2.53m) and the margin gate (SAR 1.62m) — are the largest and fastest initiatives in the plan, and both depend on customer-level economics that do not exist in the current reporting. The group knows that outbound freight is 7.4% of sales and that export freight alone is SAR 6.93m, but it cannot see which lanes generate that cost or which customers would still be profitable after it. Without that, the margin gate cannot be enforced and the indexation clause cannot be targeted at the contracts where pricing power exists.

What it would change in this report

- The size, sequencing and confidence of actions 1 and 2, which together carry SAR 4.15m of the SAR 18.6m portfolio.
- The mix hypothesis in Section 3.6, which currently assumes that a third of the residual can be closed by moving volume from negative-contribution SKUs to the best lanes — a plausible but unmeasured assumption.
- The concentration risk disclosure: the report cannot currently state what share of revenue the top five customers represent.

4.4 Inventory and receivable ageing

What is required

For inventory: ageing by stock code in 0–90, 91–180, 181–365 and over-365-day buckets, split between raw material, work in progress and finished goods, with a slow-moving and obsolete list and an NRV assessment by category. For receivables: ageing by customer and by market, the security held (credit insurance, LCs, guarantees), the historic loss experience by market, and the provisioning matrix. Alongside them, the correction of VH's negative inventory GL (180005) and confirmation of the intercompany balance of SAR 1.63m / SAR 1.61m.

Why it is decision-critical

Action 6 assumes inventory falls from SAR 68.8m to SAR 45m — a release of SAR 23.8m — and that the cash is used to repay Murabaha. That assumption is arithmetic, not evidence. Inventory days are 188 at Alif and 209 at VH; without ageing, the board cannot know whether the SAR 23.8m is saleable stock, a write-off waiting to happen, or a mix of both. The same applies to receivables: DSO has improved from 81 to 62 days, but FY2023 carried SAR 8.9m of bad debts and the credit quality of the remaining SAR 21.5m is untested.

What it would change in this report

- The size and timing of action 6, including whether the SAR 1.69m interest saving is achievable in year one.
- The provisioning charge in the 2027 forecast and the working-capital assumptions behind the 13-week cash forecast.
- The valuation of the balance sheet for any future restructuring, refinancing or sale discussion.

4.5 What we have assumed in the absence of this data

So that the report can be used before the four items above are received, every assumption is stated and its effect is bounded. The direction of every conclusion in Sections 1–3 is robust to these assumptions; the level of the gap is not.

Table 4.2 Assumptions made and their effect on the analysis

Assumption	Basis	Effect if wrong

Assumption	Basis	Effect if wrong
9M-2026 tonnage of 36,625 t	Revenue of SAR 126.47m ÷ the FY2025 realised price of SAR 3,453/t	Per-ton metrics for 2026 move with the actual tonnage; a 10% error changes cost per ton by roughly SAR 350 and contribution per ton by SAR 130
Annualisation at 4/3	Nine months to 30 September treated as three-quarters of a year	No seasonality adjustment; if H2 is seasonally weaker the annualised loss is overstated
Factory depreciation inside cost of sales	The client's own P&L presentation (SAR 6.49m in 9M-2026)	A strict EBITDA definition would add SAR 6.5m to 2026 EBITDA and the equivalent in earlier years
Murabaha profit rate of 6.5%	Applied to the SAR 26m debt reduction in action 6	A 100 bp error changes the saving by SAR 0.26m
Bad-debt and inventory adjustments excluded from the trend	Shown below the gross-profit line, as the client presents them	Including them would deepen 2023 and 2024 further and change the year-on-year comparison
FY2025 management figures	Client's historical P&L; not audited	See Section 4.1 — the baseline could move materially

Source: workbook notes and limitations L1–L10 (Appendix B).

WHAT THE BOARD CAN RELY ON TODAY

The diagnosis — price realisation below break-even, a cost structure that never resized, and a balance sheet funded by debt and shareholder support — is supported by the ledgers and does not depend on any of the four missing items. The quantified portfolio is a management estimate with conservative assumptions and should be tracked monthly. The precise size of the residual gap (SAR 21.6m of EBITDA, SAR 35.9m net) will move once the four items above are received, most probably by 10–15%.

APPENDIX A

Basis of Preparation and Definitions

This appendix sets out the conventions used in the report so that every figure can be reconciled to the workbook and, through it, to the client's ledgers. It is deliberately explicit: several of the apparent disagreements between this report and the figures quoted in the brief are differences of basis, not of fact.

A.1 Period, entities and currency

- **Period.** FY2014–FY2025 are calendar years. FY2026 is the nine months to 30 September 2026 (referred to as 9M-2026), multiplied by 4/3 wherever the analysis needs an annual run-rate and labelled "annualised" where it is.
- **Entities.** Alif Leading Industrial Factory is the only entity with pre-2026 data: the historical sheets and the client's P&L cover Alif alone. VH Vision Horizon is included from 1 January 2026 and is therefore presented only in the nine-month entity split (workbook Table 1 (continued)) and the consolidated statements.
- **Currency and units.** Saudi riyals throughout; millions (SAR m) in the narrative and the tables unless a unit is stated. Per-ton figures are SAR per metric ton.

A.2 Two gross-margin bases — and why both are shown

The client's historical P&L charges outbound freight inside cost of sales. The master workbook's IFRS statements reclassify outbound freight to selling and distribution, as IAS 2 requires. The effect is to raise the reported gross margin by the freight ratio in every year, without changing EBITDA or net result. Table A.1 shows both bases for every year covered by the report.

Table A.1 Gross margin on the total-cost and IFRS bases, FY2014–9M-2026

Basis	FY2014	FY2016	FY2018	FY2020	FY2022	FY2023	FY2024	FY2025	9M-2026
Total-cost (as-reported) — used in this report	20.3%	16.7%	17.1%	2.7%	12.3%	(5.6%)	2.0%	(0.6%)	(13.2%)
IFRS (freight in S&D) — as in the master statements	22.3%	19.8%	20.1%	4.8%	13.5%	(2.9%)	3.4%	0.9%	(5.7%)
Difference = outbound freight as % of sales	2.0%	3.0%	3.0%	2.1%	1.2%	2.6%	1.5%	1.4%	7.4%

Source: workbook Table 1, rows 30 and 44. The two bases converge in 2026 only in the sense that the freight ratio rises; the gap widens to 7.4 points because outbound freight reached 7.4% of sales.

A.3 EBITDA, depreciation and the break-even calculation

The label EBITDA follows the client's own presentation, in which factory depreciation is charged within cost of sales and non-production depreciation and amortisation are shown below EBITDA. For 9M-2026 this means SAR 6.49m of machinery depreciation sits inside Alif's cost of sales and SAR 1.89m is deducted below EBITDA; the cash-flow statement adds back SAR 8.38m in total, which reconciles exactly. On a strict EBITDA definition the 9M-2026 figure would be −SAR 23.6m rather than −SAR 30.1m. The convention is applied identically in every period, so the trend, the per-ton metrics and the ranking of the loss drivers are unaffected — but the figure is not comparable with a covenant definition without adjustment, and the board should say so when it speaks to its banks.

The net break-even gap in Table 3.2 is calculated as the EBITDA gap after the portfolio plus annualised finance cost plus the below-EBITDA depreciation and amortisation. Factory depreciation is not added again because it has already been charged in arriving at EBITDA.

A.4 Annualisation, estimates and the tonnage assumption

- **Annualisation.** Nine-month income-statement and cash-flow figures are multiplied by 4/3 to produce a run-rate. No seasonality adjustment is made. Balance-sheet figures are point-in-time and are never annualised.
- **Tonnage.** Neither the trial balance nor the general ledger carries tonnage. The 9M-2026 volume of 36,625 tons is derived by dividing revenue of SAR 126.47m by the FY2025 realised price of SAR 3,453/t. Every 2026 per-ton metric is therefore an estimate, flagged in the workbook and in Section 4. Independent confirmation of actual 2026 tonnage is a high-priority data request.
- **Outbound freight.** The workbook's historical summary has no freight line in selling and distribution, so outbound freight of SAR 2.0–3.5m a year (2014–2025) is taken from row 12 of the source P&L_2014-2025 sheet. Without it, gross profit would not tie to the client's accounts.
- **Two EBITDA bases in the workbook.** The legacy P&L sheet shows 9M-2026 EBITDA of −SAR 20.70m and the IFRS statement shows −SAR 30.10m. The SAR 9.40m difference is exactly the outbound freight that the IFRS statement moves into selling and distribution. This report uses the IFRS figure throughout and discloses the difference rather than reconciling it away.
- **Rounding.** Figures are rounded independently and may not sum exactly. Percentages are calculated from unrounded values.

APPENDIX B

Data-Quality Register (L1–L10)

Ten limitations are carried in the workbook (rows 162–172). They are reproduced here because the board should read the numbers with them in view. None changes the direction of the diagnosis; three of them (L1, L2 and L9) limit the precision of the 2026 figures, and one (L10) limits comparability with covenant definitions.

Table B.1 Limitations and data-quality findings carried in the workbook

Ref	Item	Treatment in this analysis
L1	Comparability of 2014–2025 with 2026	Historical data exists only for Alif. VH is included from 1 January 2026, so Table 1 is Alif-only and the group view is confined to the continuation of Table 1. Nine-month figures are annualised where labelled.
L2	Tonnage for 9M-2026 is estimated	Neither the trial balance nor the GL carries tonnage. Volume is derived from revenue at the FY2025 realised price; every 2026 per-ton metric is indicative until actual tonnage is supplied.
L3	Outbound freight in the historical summary	The engine P&L omits outbound freight. Table 1 restores it from the source P&L; the IFRS-basis margin is shown separately so both presentations are visible.
L4	Applied overhead inside raw materials	GL 520041 “Applied OH” carries an SAR 11.49m credit inside Alif’s raw materials (VH SAR 1.40m). It distorts raw-material ratios by roughly nine points and should be presented at the bottom of the income statement.
L5	VH negative inventory balance	GL 180005 appears twice (RAW MAT PAPER −SAR 1.47m and RAW MAT HIGH CARBON +SAR 1.47m): a stock-code or sign error to be corrected before ageing analysis.
L6	Intercompany difference	Alif a/c 270005 (SAR 1.63m) and VH a/c 330004 (SAR 1.61m) differ by SAR 19,243.86, carried as a consolidation equity line. Confirm before the year-end audit.
L7	One-off items not separated	FY2023 bad debts SAR 8.9m, FY2024 reversal SAR 5.1m, FY2024 inventory adjustment SAR 3.1m and the FY2025 administrative-salary step-up SAR 13.2m are not split between recurring and non-recurring.
L8	Worksheet name length	Excel limits sheet names to 31 characters and the requested name is 37 characters long, so the tab carries the longest faithful prefix, “Historical_Loss_&_Turnaround” (28). The full title is in cell A1.
L9	Opening balances: historical BS versus TB opening	The 1-Jan-2026 opening balances differ from the historical BS by SAR 23.8m gross (inventory, receivables, prepayments, payables). The difference must be closed against the audited 31-Dec-2025 statements.
L10	EBITDA convention	EBITDA is struck after factory depreciation charged in cost of sales. On a strict definition 9M-2026 EBITDA would be −SAR 23.6m rather than −SAR 30.1m. Applied consistently in all periods.

APPENDIX C

Workbook Navigation Map

The analysis is contained in a single new worksheet, Historical_Loss_&_Turnaround, added to Alif_VH_IFRS_Master_Sep2026_Final.xlsx. The sheet is 173 rows long and contains exactly four tables, plus a key-findings summary and the limitations register. Every figure is a live formula: if a trial balance is refreshed, the tables recalculate, and the cached values shipped with the workbook are only a convenience for viewers that do not recalculate on open.

Table C.1 Where to find each element of the analysis

Rows	Element	What it contains
1–4	Title and basis of presentation	Scope, entities, period and the freight-basis disclosure
6–12	Key findings	The five findings summarised in Section 1.1, with the source note
13–51	Table 1 — multi-year trend	FY2014, 2016, 2018, 2020, 2022, 2023, 2024, 2025 and 9M-2026; volume, price, revenue, the COGS build, profitability, below-EBITDA items, unit economics and funding
52–79	Table 1 (continued) — entity split	9M-2026 Alif / VH / eliminations / consolidated, plus the balance sheet and cash-flow lines and the memo ratios
80–93	Table 2 — cost structure	Six cost lines as a percentage of sales for FY2014, FY2023, FY2025 and 9M-2026, with three delta columns
94–107	Table 3A — operating leverage	Volume, fixed overhead, overhead per ton, contribution per ton, break-even volume, break-even price and price headroom
108–117	Table 3B — margin breakdown	Where the gross margin went, per ton, between FY2022, FY2023, FY2025 and 9M-2026
118–124	Table 3C — interest cover	EBITDA, finance cost, cover, cover excluding finance cost and finance cost as a percentage of sales
125–141	Table 3D — working capital and funding	Net working capital, Murabaha, related parties, cash, net debt, equity, DSO/DIO/DPO and the cash conversion cycle
142–160	Table 4 — turnaround actions	Eight initiatives with baseline, target, EBITDA impact, margin impact, owner and the resulting gaps
162–172	Limitations L1–L10	The data-quality register reproduced in Appendix B
173	Colour legend	Navy = section header, amber = estimate or hard input, red = loss, green = adequate cover

The workbook retains all thirteen charts, five drawings and the existing VML objects of the master file; the new sheet was inserted at XML level so that the rest of the workbook is byte-for-byte unchanged. No existing sheet, formula, chart, defined name or print setting was modified.

Prepared by the analysis team on 17 October 2026 from the client's trial balances and historical P&L. The report and the companion worksheet are management analysis and are not an audit or a valuation. They should be read with the limitations in Appendix B and the four data requests in Section 4.